CONNELLY&COMPANY
MANAGEMENT LTD.

This Agreement made in duplicate on this _____ day of _____, 20__, between:

**Condominium Corporation No. _____**
**Project Name: _____**

A Condominium Corporation duly constituted under the *Condominium Property Act*, R.S.A. 2000, c. C-22, (hereinafter called the "**Corporation**")

and

**Connelly & Company Management Ltd.,**

a body corporate duly registered under the Laws of the Province of Alberta (hereinafter called "**Connelly**")

**WHEREAS** the Corporation is subject to the provisions of the *Condominium Property Act*, R.S.A. 2000, c. C-22 (the "**Act**"), the regulations pursuant thereto, and to the provisions of its Bylaws;

**AND WHEREAS** the Corporation is responsible for the enforcement of its Bylaws and the control, management, and administration of its real and personal property and the lands and improvements comprising the Common Property of the Condominium situated at:

_____

_____

_____

**AND WHEREAS** the powers and duties of the Corporation are performed and exercised by the Board of Directors (hereinafter called the "**Board**");

**AND WHEREAS** the Board may employ and appoint such agents and servants as it sees fit in connection with control, administration and management of the Common Property and the exercise and performance of the powers and duties of the Corporation;

**AND WHEREAS** Connelly is an established firm offering condominium property management services in the City of Calgary;

**AND WHEREAS** the Board wishes to employ Connelly to provide certain property management and administrative services for the period noted and in accordance within the terms and conditions of this Agreement;

**AND WHEREAS** Connelly wishes to be the contracted property manager for the Corporation and agrees to perform management services in accordance with the terms and conditions of this Agreement.

**NOW THEREFORE THIS AGREEMENT WITNESSETH THAT,** in consideration of the mutual covenants and promises herein contained, the parties hereto agree as follows:

1. Terms, expressions, words and phrases used herein shall have the definitions and meanings contained in the Act.

2. The Corporation hereby appoints Connelly to be its Manager and Agent subject in all respects to the overall control and instruction of the Board and to the specific provisions of this Agreement and any amendments thereto for a one-year term commencing _____.

3. Connelly accepts such appointment as Manager and Agent for the Corporation and agrees to provide property management and administrative services on behalf of and in the name of the Corporation in a faithful, diligent, and honest manner. Connelly agrees that it shall, in all respects, be subject to the control of the Board and to the terms and conditions of this Agreement. Connelly further agrees to carry out forthwith the instructions of the Board. This Agreement neither implies nor confirms any contractual obligation by Connelly to individual owners of the Corporation.

4. Connelly acknowledges that it is in possession of and is familiar with the current Bylaws of the Corporation. Connelly shall at all times observe and perform its obligations within the limitations of the Act and the Bylaws of the Corporation.

5. Connelly shall open, establish or cause to be established bank, brokerage, or similar accounts for the Corporation, in the name of the Corporation. Connelly shall not represent to any party having business with the Corporation that it controls or manages the Corporation funds except as set forth in this Agreement or in any capacity other than at the direction of the Board. These bank, brokerage or similar accounts shall not be deemed as "Trust Accounts" by either the Corporation or Connelly.

6. The Corporation shall, by banking resolution of the Board, establish and maintain a bank account in the name of the Corporation (hereinafter called the "**Operations Account**") for the purpose of carrying on such business of the Corporation as is set forth in the operating provisions of the Corporation's annual budget and such other business as the Board may deem necessary and prudent. Authorized signatures for the purpose of drawing funds from the Operations Account shall include both a representative of Connelly and an Officer of the Corporation. Connelly shall establish and maintain the Operations Account solely for the purposes of the Corporation and solely in its capacity as the Agent of the Corporation. The Corporation may, at its discretion, appoint the representative of Connelly as its sole signing authority on the Corporation's Operations Account.

7. The Corporation shall, by banking resolution of the Board, establish and maintain a bank account in the name of the Corporation (hereinafter called the "**Reserve Account**") for the purpose of carrying on such business of the Corporation as is set

forth in the reserve provisions of the Corporation's annual budget resolution and such other business related to the Corporation's Reserve Fund as the Board may deem necessary and prudent. Authorized signatures for the purpose of drawing funds from the Reserve Account shall include both a representative of Connelly and an Officer of the Corporation acting together. Connelly shall establish and maintain the Reserve Account solely for the purposes of the Corporation and solely in its capacity as the Agent of the Corporation. Transfers from the Operations Account to the Reserve Account shall be made from time to time at the instruction of the Board acting on behalf of the Corporation. The Corporation may, at its discretion, appoint the representative of Connelly as its sole signing authority on the Corporation's Reserve Account.

8. The Corporation shall, by resolution of the Board, establish and maintain an investment account in the name of the Corporation (hereinafter called the "**Investment Account**") for the purpose generating an investment return from the Corporation's accumulated reserve fund balance. Authorized signatures for the purpose of drawing funds from the Investment Account shall include both a representative of Connelly and an Officer of the Corporation acting together. Investment and trading instructions shall be given directly by the Corporation's Treasurer acting on behalf of the Board to the investment institution where the Investment Account is held. Connelly may provide investment or trading comparables with respect to the Investment Account. If confirmation from the Corporation's Treasurer is not forthcoming, Connelly may provide instruction to the investment institution on similar terms and conditions to the investment or trading comparable previously provided.

9. Connelly shall undertake and make every effort to keep separate and not to commingle the Corporation's operating and reserve monies. Connelly shall provide the Corporation with a separate accounting for each of the Corporation's Operations Account and Reserve Account.

10. From time to time and in consultation and agreement with Connelly, the Board may prepare and approve by resolution letters of Policy and Procedure and/or letters of Instruction to Connelly which shall detail, specify, supplement and/or modify the manner and form in which Connelly provides the property management and administrative services set forth in this Agreement. Such letters shall be signed and certified by the Secretary of the Corporation. Such letters, the receipt of which shall be duly acknowledged by Connelly, shall be appended to this Agreement as schedules and shall form a part of this Agreement upon agreement by Connelly. All letters of Policy and Procedure and/or letters of Instruction approved by the Board shall remain in force until rescinded or modified by the Board or Connelly.

    The Board may also from time to time provide specific instructions or direction to Connelly by way of minutes of meetings of the Board, which instructions shall be contingent on Connelly's acceptance. The Secretary of the Board shall provide copies of all minutes of meetings of the Board to Connelly. Alternatively, the Board may appoint Connelly to record the Minutes, in which Connelly shall provide copies of all minutes of meetings to the Board.

11. Notwithstanding such further specifics as are set forth from time to time by the Board, Connelly agrees to perform the following services in its capacity as Manager and Agent for the Corporation:

(a) Connelly shall carry out duties and functions required to keep the common and any managed property in good and serviceable condition and to properly maintain it within the instructions of the Board, the budget, the Bylaws of the Corporation and the Act.

(b) Connelly shall carry out duties and functions required to ensure proper caretaking, cleaning and operation of the common and managed property in a manner that provides for the continuing comfort, security, enjoyment and convenience of the residents, in accordance with the instructions of the Board.

(c) Connelly shall carry out duties and functions required to provide for the on-going administration and record keeping of the Corporation.

(d) Connelly shall uphold and enforce the terms and provisions of the Corporation's Bylaws and any Rules and Regulations established under the Bylaws. Connelly shall advise and consult with the Board respecting Bylaws and/or amendments which may further the harmonious and satisfactory operation of the Corporation and the Condominium.

(e) Connelly shall carry out duties and functions required to ensure that the Corporation is in on-going compliance with the regulations, notices and/or orders of any local, Provincial, Federal or other public authority.

(f) Connelly shall to the best of its ability keep and maintain a true and accurate register of all Owners of the Units of the Condominium and of all residents within the Condominium. Such register shall state the date on which it was last revised and shall include the various addresses and telephone numbers known to Connelly at which Owners and residents can be contacted.

(g) Connelly shall communicate and deliver to Owners and residents all required notices and other documents or information. Such communications shall be made only with the prior approval of the Board as to form and content and solely in the name of the Corporation.

(h) Connelly shall collect all monies payable to the Corporation from time to time by the Owners of the Units in respect of condominium contributions and shall deposit the same forthwith only in the bank account in the name of and maintained by the Corporation for that purpose. Connelly shall receive invoices and prepare cheques drawn on the Corporation's bank accounts only in order to make payments on accounts properly incurred on behalf of the Corporation.

(i) Connelly is entitled to supply Section 44 documents at costs determined by Connelly and through the internet if required.

(j) Connelly shall issue Estoppel Certificates on behalf of the Corporation respecting condominium contributions levied and due on Units of the Condominium and provide information on request as required under Section 44 of the Act, at its sole discretion.

(k) Connelly shall keep proper and accurate books of account respecting the financial transactions and assets of the Corporation and shall render monthly and annual financial statements with respect to the financial position and operations of the Corporation.

(l) Connelly shall arrange for all insurance required by the Act and the Corporation's Bylaws and shall arrange for such additional insurance as deemed advisable by the Board. Connelly shall provide proof and certification of continuing coverage respecting all such insurance to the Board and to all Owners. Connelly shall be a "Named Insured" on the Corporation's insurance policy during the term of this Agreement or any extensions thereof.

(m) Connelly shall assist the Corporation with the preparation of the annual budget and any amendments thereto and shall advise and assist the Board on long-term financial planning including management of any Reserve Account established by the Board and/or required by the Bylaws.

(n) A representative of Connelly shall attend four (4) quarterly meetings of the Board and one (1) general meeting of the Corporation as requested by the Board per fiscal year.

(o) Where not specified in more detail above, Connelly shall perform such specific tasks and provide such specific services as are itemized in letters of instruction and/or any letters of policy and procedure from the Board or form part of the Corporation's meeting minutes, as agreed to by Connelly.

12. All corporate and financial records, documents, books of account, drawings, blueprints, minutes, correspondence, photographs, bank statements, reconciliations, papers, and/or other materials relating to the Condominium, the common property, the Owners, the Board, and/or the Corporation or its assets which are held by Connelly at the time of signing or which are acquired or generated by Connelly or which come into the possession of Connelly in connection with its appointment as Manager and Agent for the Corporation (hereinafter called the "**Records**") are the sole property of the Corporation and are not the property of Connelly except electronic media/data that are the sole property of Connelly.

Records are deemed to be held in safekeeping by Connelly for the Corporation at the pleasure of the Board and solely for the purpose of providing the services set forth in this Agreement, provided, however, that Records over two (2) years of age may be delivered to the Corporation for storage at Connelly's sole discretion.

Upon delivery of Records to the Corporation, retention of said Records shall become the sole responsibility of the Corporation.

Any or all Records shall be delivered to the Board within ninety (90) days upon receipt of notice in writing of a resolution of the Board to that effect within reasonable notice or sixty (60) days upon termination of this Agreement. Any member of the Board, shall upon appointment, be provided with access to inspect any and all the Corporation records kept by Connelly. Upon request of any member of the Board, Connelly shall provide photocopies (or, if not reproducible by photocopy, reproductions by other means) of any or all Records at the expense of the Corporation.

13. The Corporation's insurance policy will provide bonding for the Corporation and Connelly in an amount deemed customary in view of the current operating budget of the Corporation and the Reserve Account balance held by the Corporation.

14. Connelly shall keep the Board and all Owners of the Units advised of the telephone number at which Connelly may be reached at any time during normal business hours

in respect of any non-emergency situations, and on a twenty-four hour basis in respect of an emergency situation involving the common property or the property of the Corporation. Connelly will make arrangements to deal promptly with course of business calls and Bylaw infractions and immediately with any emergency arising in connection with the maintenance and operation of the common property or the property of the Corporation. Connelly shall deal with such emergency situations, course of business calls, and Bylaw infractions and shall report them to the Board.

15. The Corporation shall pay to Connelly as remuneration for its services pursuant to this Agreement a monthly sum of _____($_____) Dollars. The remuneration payable to Connelly does not include Goods and Services Tax or out-of-pocket expenses incurred by Connelly in carrying out this Agreement or applicable taxes, the cost of which shall be payable by the Corporation.

    The fee includes all duties and services outlined in this Agreement provided, however, that Connelly is entitled to charge for work carried out in addition to and not contemplated by this Agreement as follows:

    (a) Forty-Five ($45.00) Dollars per hour for such work performed between 9:00 AM to 5:00 PM weekdays;

    (b) An administration fee of one (1%) percent will be charged on special assessments; and

    (c) Ninety ($90.00) Dollars per hour for such work performed thereafter.

    These charges will only be charged to the Corporation under the written approval of the Board of Directors.

    The Corporation shall also pay to Connelly the fees, chargebacks and costs set out in Schedule "A" attached hereto and forming part of this Agreement, as may be amended from time to time.

16. The Corporation shall indemnify and save harmless Connelly from any loss, claims, damages, costs, claims and liability arising out of damage or injury to any person or property connected with the Corporation or in following the terms and conditions of this Agreement on a solicitor and client full indemnification basis. Nothing in this Agreement will imply that Connelly is competent in legal, liability, home warranty, investments, reserve fund studies, appraisals, insurance adjusting, energy management, building engineering/mechanical systems, air quality nor construction standards. It is Connelly's duty to supply the names of appropriate parties qualified in these matters to advise and consult to the Corporation. Connelly's liability to the Corporation shall be limited to the Corporation's Insurance Policy as a "Named Insured."

17. The Corporation shall provide Connelly with copies of all Bylaws and amendments thereto made by the Corporation and copies of all documents and records available to the Corporation which may reasonably be required by Connelly in connection with the terms and conditions of this Agreement. Connelly is not responsible to assure the quantity or quality of records obtained from any previous management company or self-represented Board.

18. Connelly shall not on behalf of the Corporation make any agreement with, or obtain services from, or pay the Corporation funds to any party owned in whole or in part

by Connelly or in which Connelly has any beneficial interest without the prior agreement of the Board. Connelly shall not seek, obtain or receive any benefit, commission, payment or compensation from any supplier arising from obtaining any goods or services on behalf of the Corporation without the prior agreement of the Board.

19. Nothing in this Agreement shall prevent Connelly or its agents or employees from entering into agreements, nor shall anything herein effect any agreement entered into with individual Owners of Units within the Condominium for the management, repair, and renting of their individual units independent of the Corporation. This Agreement pertains to the management of the Corporation, its assets, real and personal property, and the Common Property of the Condominium and not to the management of the property of the individual Unit Owners.

20. The Corporation may terminate this Agreement for any reason or arbitrarily without reason or cause prior to _____ upon giving sixty (60) days written notice to Connelly of a unanimous resolution of the Board of its intention to cancel, and in the event that the Corporation does so terminate this Agreement in accordance with this paragraph, Connelly shall be entitled to collect and the Corporation shall pay to Connelly as liquidated damages an amount equal to the monthly remuneration fees that would have been payable to Connelly until the end of the term or renewal term, as the case may be, plus fees, chargebacks and costs set out in Schedule "A", and Goods and Services Tax.

The Corporation may terminate this Agreement forthwith and without notice prior to _____ if Connelly becomes bankrupt or is insolvent or is in breach of trust in respect of any monies or property of the Corporation. Termination shall in no way relieve Connelly from any of its obligations hereunder accruing or arising prior to termination.

Connelly may terminate this Agreement for any reason or arbitrarily without reason or cause prior to _____ upon giving sixty (60) days written notice to the Corporation of its intention to cancel.

In the event that this Agreement is not terminated or replaced prior to _____ it shall continue on an annual automatic renewal basis for periods of one year duration at the mutual pleasure of the Corporation and Connelly under the terms and conditions then in force, unless on or before sixty (60) days prior to the expiration of the renewal term either party hereto shall notify each other in writing that it elects to terminate this Agreement at the end of the said period.

21. Any notice, direction or other instrument required or permitted to be given under this Agreement shall be in writing and shall be sufficiently given if served personally by delivering the same to any officer of the party to be served or may be given by registered mail postage prepaid, addressed as follows:

To: Condominium Corporation No. _____

_____

_____

_____

To: Connelly & Company Management Ltd.
204, 2723 – 37 Avenue NE
Calgary Alberta T1Y 5R8

and if mailed as provided shall be deemed to have been received on the fourth bank day following the day on which it was mailed. In the event of an interruption of normal mail service by strike or lockout or similar event, notice if mailed shall be deemed to have been received on the seventh bank day following restoration of normal mail service.

22. This Agreement and every term, covenant, condition shall enure to the benefit and be binding upon the parties hereto. Connelly shall not assign, sell, transfer, or convey this Agreement to another party without the written consent of the Corporation.

23. Each of the parties hereto shall make, do, and execute or cause to be done and executed, all such further and other things, acts, deeds, documents, covenants and assurances as may be necessary or reasonably required to carry out the intent and purpose of this Agreement fully and effectually.

**IN WITNESS WHEREOF** the parties to this Agreement have caused their corporate seals to be affixed and attested to by the signatures of their Officers this _____ of _____, 20___.

**CONDOMINIUM CORPORATION NO. _____**

Per: _____

Name:
Title:

Per: _____

Name:
Titles:

**CONNELLY & COMPANY MANAGEMENT LTD.**

Per: _____

Name:
Titles:

Per: _____

Name:
Titles: